

Competitive Rivalry

- Highly competitive(Pfizer, Cipla, Novartis etc.)
- Frequent M&A and price pressure
- Race for approvals, launches and market access
- Intense competition from domestic and global players
- Need for continuous portfolio growth and speciality growth

Threat of New Entrants

- Speciality drugs require strong technical capabilities
- High R&D and regulatory barriers
- Large capital and scale advantages
- Physician and brand trust takes years to build
- Large investment in manufacturing and compliance

Porter's Five Forces- Sun Pharmaceuticals

Threat of Substitutes

- Patented drugs have few substitutes
- Generics become threats only after patent expiry
- Newer patented drugs can replace older drugs
- Substitution is lower where clinical differentiation is stronger
- Physician prescribing preferences can shift demands

Customer Power

- Hospital and bulk purchasers push prices down
- Patients have lower direct power
- Reputation matters more in complex therapies
- Low switching cost for many products
- Generic drugs are often interchangeable

Supplier Power

- Low switching cost
- Many chemical suppliers
- Sun pharma buys in large volumes
- Long term relationships improve bargaining positions
- Supplier market is fragmented in many inputs
- Company can diversify sourcing geographically

Business Model

Canvas

Value Proposition

Sun Pharma provides affordable and high quality medicines to patients across the world. The company has a strong presence in chronic therapies such as cardiology, neurology, and diabetes. It also focuses on specialty drugs and complex generics that address specific healthcare needs. Its global reach and commitment to quality help build trust among doctors, hospitals, and patients.

Customer Segments

Sun Pharma serves a wide range of customers, including patients, doctors, hospitals, pharmacies, and healthcare institutions. It operates in both domestic and international markets, supplying medicines to countries such as India, the United States, and several European nations. The company also caters to government healthcare programs and distributors. This diversified customer base helps reduce dependence on any single market.

Cost Structure

The company's major costs include research and development, manufacturing, and quality control. Significant spending is also required for regulatory approvals to meet international standards. Distribution, marketing, and sales activities add to operating expenses. In addition, Sun Pharma invests in acquisitions and integration of businesses to support long term growth.

Revenue Streams

Sun Pharma earns revenue primarily from the sale of branded generics, generic medicines, and specialty drugs. The company also generates income from over the counter (OTC) products, active pharmaceutical ingredients (APIs), and intermediates. Revenue comes from both the Indian market and international markets such as the US and Europe. This diversified revenue mix helps improve stability and growth opportunities.

Economic Moat

Network Effects

- Sun Pharma benefits from a wide global presence in 100+ countries and a strong distribution reach.
- Its scale helps it build deeper relationships with doctors, hospitals, pharmacies, and distributors.
- The larger its footprint, the easier it becomes to expand product access and reinforce market presence.

Switching Costs

- In pharma, switching is often difficult because doctors, patients, and hospitals tend to stay with trusted brands.
- Sun Pharma's specialty drugs and long-standing prescriptions create habit and trust.
- Regulatory approvals and treatment

Cost Advantages

- Large-scale manufacturing across 40 facilities helps Sun Pharma spread fixed costs over high volumes.
- Its global scale supports better procurement, production efficiency, and operating leverage.
- A broad portfolio also helps reduce dependence on any single product.

Intangibles

- Sun Pharma has a strong brand reputation built on quality, reliability, and regulatory compliance.
- Its R&D capability and specialty drug pipeline add valuable intellectual property and expertise.
- Long-term relationships with healthcare professionals strengthen trust and

	End, March 31,2025	End, March 31,2024
Revenue from operations	525,784.4	484,968.5
Cost of Materials	64,491.0	69,043.3
Employee benefits Expense	99,731.2	94,290.6
Gross Margin	87.34%	85.76%
EBITDA	144,299.8	115,822.1
EBITDA Margin	27%	23.8%
Operating Cash Flow	41,987.7	2,924.2
Net Profit	109,290	95,764
CapEx	21,285.8	22,018.1
Acquisition of subsidiary	2,728.3	1,433.2

	FY23	FY24	FY25
Revenue	438,857	484,969	525,784
Net profit	84,736	95,764	109,290
Net profit Margin	19.31%	19.74%	20.79%

Gross Margin Analysis: Sun Pharma's Gross Margin improved from 85.76% in FY24 to 87.34% in FY25. This indicates that the company was able to retain a larger portion of its revenue after covering the cost of materials consumed. Revenue from operations increased from ₹484,969 crore to ₹525,784 crore, while the cost of materials consumed decreased from ₹69,043 crore to ₹64,491 crore. The improvement in gross margin reflects better cost management, a favourable product mix, and increased contribution from higher-margin specialty products.

EBITDA Margin Analysis: Sun Pharma's EBITDA increased from ₹115,822 crore in FY24 to ₹144,300 crore in FY25, while the EBITDA Margin improved from 23.8% to 27.0%. This indicates stronger operating performance in managing operating expenses. The increase in EBITDA margin suggests that the company benefited from higher sales growth, operational efficiencies, and continued expansion of its specialty medicine portfolio.

Net Profit Trend(3 years): The increase in profitability indicates that the company has been successful in improving operational efficiency and expanding its higher margin business. According to the MD&A section of the annual report, Sun Pharma continues to focus on specialty products, innovation, cost optimization, and manufacturing efficiency, which have contributed positively to profitability.

Operating Cash Flow vs Net profit: In FY25, Sun Pharma reported an Operating Cash Flow of ₹41,988 crore compared to a Net Profit of ₹109,290 crore. Although both figures indicate strong financial performance, Operating Cash Flow is significantly lower than Net Profit. This difference may be due to changes in working capital requirements, inventory levels or receivables. Nevertheless, the company continues to generate substantial cash from its core business operations, reflecting a healthy financial position.

Capex and Acquisition Analysis: Sun Pharma invested ₹21,285.8 crore in Capital Expenditure (CapEx) during FY25 and spent ₹2,728.3 crore on the acquisition of subsidiaries which demonstrate the company's commitment to long-term growth. CapEx supports expansion of manufacturing facilities, research infrastructure, and production capabilities. The acquisition spending indicates a focus on inorganic growth through strategic acquisitions that strengthen the company's product portfolio and global presence.